Athanase
INDUSTRIAL PARTNER

# Investor presentation

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# Contents

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# Why parts of the market may be overvalued

*Fifty years of peer-reviewed research, mapped onto today's race for the hardest-to-value assets.*

| WHAT THE RESEARCH SHOWS | WHAT WE SEE TODAY · 2026 |
|---|---|
| **Uncertainty inflates price.** Unknowable prospects, and pessimists who can't short, leave the optimists to set the price — equity turns option-like, so more uncertainty lifts the valuation. (Miller 1977; Pástor–Veronesi 2009; Scheinkman–Xiong 2003) | The most-wanted assets are the least-knowable: SpaceX listed at a reported **~$1.8tn**; **Anthropic ~$965bn** and **OpenAI ~$830bn** in private rounds — still deeply loss-making. |
| **Disagreement reverts.** The most-disputed stocks are systematically overpriced; the highest forecast-dispersion names underperform by **~9.5% a year**. (Diether–Malloy–Scherbina 2002; Hong–Stein 2007) | Nothing divides opinion like AI's terminal value — and newly- or not-yet-listed names are among the **hardest to short**. |
| **IPO waves underperform.** New issues returned **34.5% vs 61.9%** for matched firms over three years — worst in hot years and for unprofitable issuers. (Ritter 1991; Loughran–Ritter 1995; Ibbotson–Jaffe 1975) | 2025–26 is the **most AI-concentrated IPO market on record**; SpaceX was the **largest IPO in history**, with OpenAI and Anthropic reportedly next. |
| **The dot-com template.** Internet stocks hit **~6% of US market value** on a sliver of the fundamentals, then crashed; arbitrage failed and the smart money rode it. (Ofek–Richardson 2003; Lamont–Thaler 2003; Brunnermeier–Nagel 2004) | The **"Magnificent Seven" are ~35%** of the S&P 500 (12% in 2015); the **Shiller CAPE is ~40** — near its 2000 record. |
| **Run-ups carry crash odds.** After an industry doubles in two years, a 40% crash follows **~53%** of the time (**~80%** after +150%); a high CAPE foreshadows weak long-run returns. (Greenwood–Shleifer–You 2019; Campbell–Shiller 1988) | Leading AI names have **more than doubled in two years** — squarely in the range where crash probability passes one-in-two. |

None of this dates the top — bubbles persist precisely because rational investors ride them rather than fight them (Abreu–Brunnermeier 2003). It is the case for diversifying an index that has become a concentrated bet on the market's hardest-to-value assets into a strategy priced on **realised cash flows**.

Peer-reviewed citations on the following page. Company valuations are reported 2026 figures, including private rounds; some IPO details are press-reported and may be revised.

# Why now — the easy decade for beta is over

*Equities are expensive on almost every measure, and the disinflation and zero-rate tailwind that lifted all assets has reversed.*

## EXPENSIVE ON MOST MEASURES

Shiller CAPE near ~36× — close to the dot-com extreme, and roughly double the long-run ~17×.

Forward P/E ~22× against a ~16× long-run average; the equity risk premium is compressed to multi-decade lows.

Most of the 2010s' return came from re-rating — paying more per dollar of earnings — not earnings growth. That lever is largely spent.

## THE MACRO TAILWIND HAS REVERSED

The zero-rate, disinflationary backdrop that lifted every asset for a decade has reversed.

Deglobalisation, fiscal deficits and demographics point to structurally higher inflation and rates — higher for longer.

A higher cost of capital compresses valuations and punishes long-duration, unprofitable growth — the opposite of the last cycle.

*Whether or not AI-driven productivity lifts returns, beta is priced for perfection and the easy tailwind has shifted — so idiosyncratic, valuation-disciplined returns matter more, not less.*

Illustrative, recent data (2024–25); sources: R. Shiller (Yale) CAPE; S&P Dow Jones Indices; consensus forward earnings. Valuations move — the regime, not the decimal, is the point.

# Passive has become a concentrated bet

*A cap-weighted index puts the most money into the stocks that have already risen the most — concentration and factor risk dressed as diversification.*

**~38%**
of the S&P 500 in its 10 largest stocks*

**~33%**
in the “Magnificent Seven” alone*

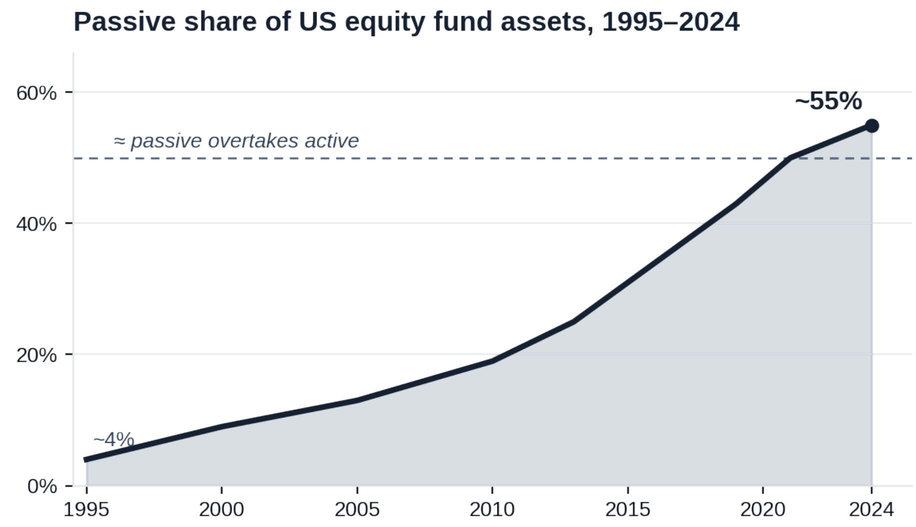
**~50 yrs**
since US equity was this concentrated*

- **Cap-weighting buys high by design.** The more a stock rises, the more of it you must own — the opposite of buy-low discipline.
- **A concentrated factor bet.** The “diversified” index is now a leveraged position in large-cap growth, momentum and a single theme (AI) — not diversification.
- **Breadth is fragile.** A stumble in a handful of mega-caps now moves the entire index; the rest of the market has been left behind.

*Illustrative, recent data (2024–25); source: S&P Dow Jones Indices. Index concentration and factor tilts change over time.

# Passive flows cut both ways

*Index buying has grown from a niche to the majority of US equity fund assets — and the same price-insensitive mechanics can force selling on the way down.*




### WHY IT CUTS BOTH WAYS

Markets are inelastic — a $1 flow can move aggregate value by ~$5; flows increasingly set the level (Gabaix & Koijen, 2021).

ETFs raise the volatility of the stocks they hold (Ben-David et al., 2018); index inclusion inflates prices and comovement (Wurgler, 2011).

The reported passive share understates the true price-insensitive base (Chinco & Sammon, 2024).

The multiplier runs in reverse: if flows slow, the most-owned mega-caps face mechanical selling — with few price-sensitive buyers left to absorb it.

*The concentration that flattered index returns on the way up is a forced-seller overhang on the way down — a risk you do not carry when returns come from company-specific change, not from flows.*

Passive share approximate; sources: ICI, Morningstar (index funds + ETFs as a share of US equity fund assets). Research citations in references.

# The total cost of ownership

*The quoted fee is the smallest, most visible layer — the real cost of owning the index is a multiple of it, and largely undisclosed.*

## MEASURABLE ANNUAL DRAG

- **3–9 bps** the headline expense ratio — all you are quoted.
- **~20–80 bps/yr** index reconstitution / front-running (Petajisto, 2011).
- **~30 bps+** unrecovered foreign dividend-withholding tax on international holdings — more for emerging markets.
- **$1–2 bn/yr** transferred to arbitrageurs at index changes (Chen, Noronha & Singal, 2006).

## FURTHER, HARDER-TO-SEE COSTS

- **Tracking difference** — funds lag the index by more than their fee.
- **Bid-ask spread & market impact** on every trade and every rebalance.
- **Cash drag** from the uninvested buffer, in rising markets.
- **Premium / discount to NAV** — widens exactly when you need to sell.
- **Securities lending** — revenue give-up and counterparty risk; it also supplies short-sellers.
- **Liquidity illusion / fire-sale risk** in illiquid underlyings (Ben-David et al., 2018).
- **Capital-gains overhang** in index mutual funds.

*Quoted at a few basis points, the true cost runs into the tens — before the biggest cost of all: paying peak prices for the most crowded companies. That is what valuation-disciplined, idiosyncratic ownership is paid to avoid.*

Peer-reviewed: Petajisto (2011); Chen, Noronha & Singal (2006); Ben-David et al. (2018). Withholding and other costs are structural/illustrative and vary by fund, domicile and period. See references.

# From passive risk to active opportunity

*An expensive, concentrated, passive-dominated market is exactly the environment active management is built for — and as analysis itself commoditises, the most durable edge is ownership, not stock-picking.*

### 1 · The setup

Expensive equities, record index concentration, and price-insensitive passive flows that inflate the most crowded names.

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### 2 · Why active now

Wider mispricing and dispersion; valuation discipline is rewarded again. The “active underperforms” critique is cyclical — and weakest in exactly this market.

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### 3 · A better kind of active

Other genuine edges exist — quant and specialist alpha — but they compete on analysing the same public data, which is what commoditises fastest. The most durable edge is ownership: buying mispriced businesses and changing the outcome.

*When the index is the crowded, expensive, fragile trade, the answer is not to pick stocks and hope — it is to own undervalued businesses and make them better. That is engaged ownership.*

# What AI changes — and what it can’t

*As machine analysis becomes ubiquitous, information-based edges are competed away faster. Engaged ownership creates the change rather than reads it — the least commoditised style.*

| Investment style | How AI changes it | Effect on the edge |
|---|---|---|
| **Quantitative / factor** | Known signals are replicated and arbitraged at machine speed. | **More crowded — published factors already fade ~58% post-publication (McLean & Pontiff, 2016).** |
| **Growth & value (fundamental)** | LLMs already match or beat analysts at predicting the direction of earnings (Kim, Muhn & Nikolaev, 2024). | **The analytical edge commoditises; the crowd grows and the edge thins.** |
| **Passive / index** | Method unchanged — but more capital chases a shrinking pool of active alpha. | **Concentration and reflexivity risk rise (see p.3).** |
| **Engaged ownership** | Alpha comes from changing the earnings trajectory from a board seat — not from reading public data faster. AI augments our sourcing and diligence; it can’t replicate access, influence or execution. | **Least commoditised — the edge is created, not discovered.** |

*When everyone can analyse, analysis stops being an edge. The durable edge is the one AI can’t run — changing the company itself.*

# The AI monoculture: machine-run portfolios crowd and decay

*A growing body of research models the mechanism: as managers adopt similar AI, they herd into the same trades — eroding market depth, crowding factors and accelerating alpha decay. Engaged ownership sits outside the monoculture.*

### Algorithmic monoculture

High AI penetration makes managers share a common signal and herd into the same trades; correlated pressure erodes market depth, drives down fundamental values and amplifies systemic risk.

*Meng & Chen, 2026*

### Strategy convergence

Agents trained on overlapping data and rewarded on similar objectives synchronise; order books thin and AI-strategy returns decay rapidly.

*Tran, 2026*

### Algorithmic coherence

LLM-augmented investors adopt comparable trade logic, crowding the same risk-premia, distorting price discovery and amplifying volatility through reflexive loops.

*Gimmelberg, 2025*

### Factor crowding

LLM agents generate highly redundant factors — so managers select the same stocks on the same signals, cannibalising each other’s returns.

*Han et al., 2026*

*The more the market runs on the same machines, the more it converges on one trade — and the faster that edge decays. Changing the company is the edge no shared model can copy.*

# Investor update

- **Cautious stance warranted.** Our underwriting continues to embed conservative growth assumptions, which may understate the breadth of the opportunity set. Even so, we remain deliberate in deploying client capital and have maintained a substantial cash position of approximately 17%.
- **Performance.** The fund returned -1.5% year-to-date as of May 30 (C share class).
- **Zalaris exited.** We tendered our shares at NOK 100 into the public offer from the Norwegian private-equity firm Norvestor. We invested at NOK 20.
- **Athanase Innovation.** The company has announced the spin-out of Ivisys, the pallet AI company, to shareholders, which will create an additional SEK 24.93 per share which the stock market investors have neglected.

**KEY PORTFOLIO CONTRIBUTORS YTD (MAY 30)**

- **Röko (+126bps).** The pace of capital redeployment has improved, with three acquisitions completed year-to-date — the principal value driver for a serial acquirer, provided transaction discipline is maintained. The shares re-rated during the second quarter.
- **Evolution Gaming (+51bps).** In mid-May the board initiated a €2bn share repurchase programme, equivalent to approximately 17% of market capitalisation at announcement. The first-quarter report indicated no material change in the underlying business.
- **LunR Royalties (+45bps).** A royalty company spun out of NGEX Minerals.
- **Somero (-148bps).** Construction activity in the United States and Europe remains in the fourth year of a cyclical downturn. We continue to see substantial intrinsic value, though leading indicators offer no clear evidence of recovery as yet.
- **TBK (-133bps).** We are in discussions with management on how to implement the operational change program.
- **Autotrader (-69bps).** A £1bn share repurchase — approximately 30% of market capitalisation — was announced in June, prompting a partial recovery in the shares. A second activist investor has since taken a position in the company.

# TBK

Management meeting in July?

- Our ongoing dialogue with management has culminated in their proposal that external advisors be engaged to support the corporate transformation.
- We have proposed instead that we assume this role ourselves: as a party already known to the company, we are positioned to act with greater speed.
- Management appears reluctant to confront the company's challenges with the requisite urgency; we will meet them again over the summer to agree a way forward.
- Our objective is first to build management's confidence in taking the initial steps, and thereafter to accelerate the pace of the transformation.

# Somero

Capital allocation raises questions

- The company has launched new products better suited to the European and entry-level segments.
- Somero's bylaws are antiquated and deny shareholders rights that are customary in publicly listed companies.
- The incoming management team has expressed a strong preference for expansion through acquisition. Given the niche character of the business and the depressed valuation at the cyclical trough, however, we regard share repurchases as the superior use of capital.
- Together with fellow shareholders representing close to 50% of the share capital, we have been discussing measures to amend the bylaws and refresh the board of directors; there is consensus on the need to act.
- The annual general meeting is scheduled for June 17, and several shareholders intend to vote against the company’s resolutions should no action be forthcoming.
- Somero has engaged its corporate broker to canvass shareholder views.
- We would welcome the opportunity to add to our position, but will refrain until it is clear what actions will be taken to restore shareholder rights.

# Autotrader

Research in progress.

- A second activist investor has appeared on the shareholder register.
- A £1bn share repurchase programme has been announced, equivalent to approximately 30% of market capitalisation at the time of announcement.
- We have engaged with fellow shareholders and conducted primary research among car dealers in the UK.
- The central question is whether the growing adoption of AI and agent-based search will alter consumer behaviour, eroding Autotrader's near-monopolistic market position and placing pressure on pricing.

# Software tools

AI tools implemented

- Our proprietary screening software, which ranks companies on their economic value returns, is now complete; it enables us to evaluate the historical performance of some 60,000 companies and to value them on that basis.
- As the opening section illustrates, the market is richly valued in aggregate, though dispersion across industry groups is wide.
- We have also developed a CEO evaluation tool that scores executives on their historical performance and ranks them against peers within the same industry.
- Our “battleground” software identifies the companies competing within the same industries, geographies and customer bases, producing genuine peer comparisons rather than the flattering peer groups assembled by investment banks to promote new listings.
- These true peer groups allow us to track our portfolio companies’ progress with greater precision and to distinguish the effects of management action from those of the market.

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